before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b).

4. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorney's fees are to be withheld by the administrator until released by the Court after review of the compliance statement. The Court may issue a release through an unreported minute order without a hearing on the compliance statement.
5. No appearance is required at the May 20, 2026 hearing.

10. 9:00 AM CASE NUMBER: C25-00824
CASE NAME: SANDSTONE GROUP, LLC VS. RANDALL MILLER
***HEARING ON MOTION IN RE: LEAVE TO FILE 2ND AMENDED COMPLAINT**
FILED BY: SANDSTONE GROUP, LLC
****TENTATIVE RULING:****

Sandstone's Motion for Leave to File Second Amended Complaint is **granted**.

Sandstone shall file and serve its Second Amended Complaint within 15 days of this ruling, and Defendants shall file their responsive pleadings within the time prescribed by law.

Background

This is an action for breach of a commercial loan guaranty and related claims for fraudulent transfer, fraudulent concealment, and conspiracy. Plaintiff Sandstone Group, LLC ("Sandstone") is the creditor on the underlying loan obligation. The originally named defendants were RAD Urban, Inc. ("RAD Urban") and Randall Miller, who personally guaranteed RAD Urban's obligation to Sandstone.

Sandstone alleges that RAD Urban issued a note that became due on March 31, 2020, and that Randall Miller personally guaranteed that obligation. Sandstone alleges that, rather than satisfy the guaranty when the obligation matured, Mr. Miller and others engaged in a coordinated series of transactions to place his assets beyond the reach of creditors.

The transfers in this case begin with a residential property at 63 Moraga Via in Orinda, California. Sandstone alleges that in May 2020 the Millers created the 63 Holdings Trust, naming Robert Miller as trustee, and transferred 63 Moraga Via into that trust. In April 2021, the trust conveyed the property to third parties. Sandstone alleges (or proposes to allege) that the sale proceeds were used in June 2021 to purchase an Orinda lot, which was subsequently subdivided. One half of the lot was sold, with proceeds allegedly deposited into a bank account belonging to 63 Realty Holdings, LLC; the other half (8 Patrick Lane) is alleged to be the site of the Millers' current residence. Sandstone further contends that the Millers established a spendthrift trust in Nevada (the RA Miller Capital Holdings Trust) to hold additional assets while the Millers retained control over them. Sandstone further contends that the Millers have been receiving funds from R2 Building ("R2 Building"), which shares a principal place of business and key personnel with the now-defunct RAD Urban.

Sandstone's original complaint filed on March 24, 2025 named Randall Miller and RAD Urban as defendants, as well as Doe defendants on the fraudulent transfer claims. On April 18, 2025, Sandstone filed the FAC adding Randall Miller's brother, Robert Miller (individually and in his capacity as trustee of the 63 Holdings Trust), as well as 63 Realty Holdings, LLC (“63 Realty”), an entity purportedly controlled by Randall Miller.

Defendants answered the FAC on various dates between June and August of 2025. Sandstone has propounded written discovery on defendants (Robert Miller is apparently the only party to have responded), and issued subpoenas to financial institutions and to Alexis Miller, but document production has been limited. The parties participated in an unsuccessful mediation on October 8, 2025, and continued settlement discussions after that.

On January 15, 2026, the Court held a case management conference, and it set a trial setting conference for April 23, 2026. Following the CMC, counsel for Defendants stated that they would not stipulate to an amended complaint. Accordingly, on January 23, 2026 Sandstone filed the instant motion for leave to file a second amended complaint. The proposed second amended complaint (“SAC”) would add as defendants Randall Miller’s spouse, Alexis Miller, and R2 Building, which Sandstone contends is a continuation, successor-in-interest, and/or alter ego of RAD Urban.

The operative FAC asserts five causes of action: (1) breach of guaranty; (2) fraudulent transfer under the Uniform Voidable Transactions Act (UVTA); (3) common law fraudulent transfer; (4) conspiracy to commit fraudulent transfers; and (5) fraudulent concealment. The proposed SAC would add Alexis Miller as a defendant on the two fraudulent transfer claims and the conspiracy claim, and would add R2 Building as a defendant on the breach of guaranty claim, both fraudulent transfer claims, and the fraudulent concealment claim. Sandstone also seeks to add RAD Urban to the fraudulent transfer claims.

RAD Urban, Robert Miller, and 63 Realty oppose the motion. Defendants do not oppose the addition of R2 Building as a party. Instead, the opposition is limited to the addition of Alexis Miller, on grounds of undue delay, prejudice, and the bar of the statute of limitations.

Defendants represent that on March 23, 2026, Sandstone, standing in the shoes of the bankruptcy trustee, obtained a $24,470,546.27 judgment against Mr. Miller (*Sandstone Group, LLC v. Randall Miller, et al.*, Bankr. N.D. Cal. Case No. 25-03003 (HLB)), and that on April 3, 2026, Mr. Miller filed for bankruptcy protection (*In re Miller*, Bankr. N.D. Cal. Case No. 26-40598).

Legal Standard

Code of Civil Procedure section 473, subdivision (a) provides: "The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code." (Code Civ. Proc., § 473, subd. (a)(1); see also, Code Civ. Proc., § 576.)

The court has broad discretion to permit amendments to pleadings, and "the court's discretion will usually be exercised liberally to permit amendment of the pleadings." (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.) "The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified." (*Ibid*.) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend. .. ." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530.) Prejudice includes "delay in trial, loss of critical evidence, or added costs of preparation." (*Solit v. Tokai Bank, Ltd. New York Branch* (1999) 68 Cal.App.4th 1435, 1448.)

California Rules of Court, Rule 3.1324, subdivision (a) provides, "[a] motion to amend a pleading before trial must: (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." (Cal. Rules of Court, Rule 3.1324, subd. (a).)

Further, California Rules of Court, Rule 3.1324, subdivision (b) provides, "[a] separate declaration must accompany the motion and must specify: (1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier." (Cal. Rules of Court, Rule 3.1324, subd. (a).)

Motion for Leave to Amend

The proposed SAC would add two new defendants to the case, Alexis Miller and R2 Building, and would expand the claims against RAD Urban.

As to Alexis Miller, Sandstone seeks to add her as a defendant to its existing claims for fraudulent transfer under the UVTA, common-law fraudulent transfer, and conspiracy to commit fraudulent transfers. Sandstone claims that discovery in this case has revealed Ms. Miller's role in the transactions at issue, including her interest in the 63 Holdings Trust, her position as a member and manager of 63 Realty, and her role as co-grantor and co-investment trustee of the Nevada spendthrift trust that Sandstone alleges was used to hold the Millers' assets.

As to R2 Building, Sandstone seeks to add it as a defendant to its claims for breach of guaranty, fraudulent transfer under the UVTA, common-law fraudulent transfer, and fraudulent concealment. Sandstone alleges that R2 Building is a continuation, successor-in-interest, and/or alter ego of RAD Urban, sharing the same principal place of business as RAD Urban and at least four key personnel.

Sandstone also seeks to add RAD Urban to the two fraudulent transfer causes of action, based on what Sandstone characterizes as newly discovered evidence of RAD Urban's role in funneling funds through R2 Building, and to revise certain other allegations. No substantive deletions are proposed.

Defendants do not raise any procedural defects in the Motion and Defendants also do not oppose the addition of R2 Building. As to Alexis Miller, Defendants argue that Sandstone delayed too long in seeking to add her, that the amendment will prejudice defendants by requiring additional discovery and by depriving them of the opportunity to have included Ms. Miller in the October 2025 mediation. Defendants additionally argue that claims against Ms. Miller are barred by the UVTA statute of limitations.

Delay

Defendants first argue that Sandstone delayed unreasonably to name Alexis Miller. They argue that Sandstone knew or should have known of Ms. Miller's involvement from the outset of the case, and point to a July 30, 2025 meet-and-confer letter in which Sandstone's counsel acknowledged that Ms. Miller, along with her husband, jointly transferred 63 Moraga Via to the 63 Holdings Trust. Despite this knowledge, Sandstone waited months to seek leave to amend, and did so only after Mr. Miller would not settle the case on Sandstone's terms.

The Court is not persuaded. Although Sandstone may have suspected from the start of the case that Ms. Miller had some involvement in or knowledge of the challenged transactions as Randall Miller's spouse, suspicion is not the same as knowledge of facts giving rise to a claim. According to Sandstone, it was through documents produced in July 2025 that it first learned that Ms. Miller was co-trustor of the 63 Holdings Trust with an ownership interest, and it was through third-party discovery received in October 2025 that Sandstone learned about Ms. Miller's role as co-grantor and co-investment trustee of the trust in Nevada. Sandstone raised the possibility of amendment with Defendants shortly after the unsuccessful mediation in October 2025, continued to discuss the issue with Defendants over the following months, and filed this Motion on January 23, 2026, within roughly two weeks of their counsel confirming that Defendants would not stipulate to amendment.

That timeline does not reflect the kind of unreasonable delay that justifies denying leave to amend. The cases Defendants rely on involve far more egregious circumstances. In *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, for example, the plaintiffs waited more than five years to raise their proposed amendment, did so for the first time during a summary judgment hearing, and provided no excuse for the delay. (*Id*. at p. 176.) Nothing comparable has happened here. Sandstone filed this motion less than a year after filing the original complaint, and within months of learning facts that, in its view, supported the new claims.

Prejudice

Defendants argue they will suffer prejudice if the motion is granted. Prejudice sufficient to defeat amendment generally requires a showing of "delay in trial, loss of critical evidence, or added costs of preparation." (*Solit v. Tokai Bank, Ltd., New York Branch* (1999) 68 Cal.App.4th 1435, 1448.) For example, in *Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, leave to amend was properly denied where a trial date had been set, the jury was about to be impaneled, counsel, the parties, the trial court, and witnesses had already set aside time for trial, and a continuance would have been required to depose new witnesses, because adding the new cause of action "would have changed the tenor and complexity from its original focus." (Id. at 486-487.)

None of those factors is present. There is no trial date or discovery cutoff. The parties have engaged in written discovery only. In that posture, the amendment will not require any work to be redone, and Defendants will have sufficient opportunity to conduct discovery directed to the new claims, to the extent that they need it. Moreover, the prospect of additional discovery, standing alone, does not constitute the kind of prejudice that should defeat amendment.

Defendants also argue that they are prejudiced because they engaged in considerable time and expense preparing for and attending the October 2025 mediation, which did not include Ms. Miller because she was not then a party. Defendants identify no authority for the proposition that prior participation in an unsuccessful mediation should bar the addition of new parties and the Court does not see how this constitutes cognizable prejudice. Defendants' argument is also undercut by their non-opposition to the addition of R2 Building as a party. If adding one new party at this stage is tolerable, the addition of a second party should not change the analysis.

Statute of Limitations

Defendants' remaining argument is that Sandstone's proposed causes of action against Ms. Miller are time-barred by the four year statute of limitations in Civil Code section 3439.09, because both the underlying obligation (March 31, 2020) and the principal transfers at issue (the May 2020 creation of the 63 Holdings Trust and the April 2021 transfer of 63 Moraga Via) fall outside the four-year window. Defendants further argue that Sandstone cannot invoke relation-back under Code of Civil Procedure section 474, because it knew of Ms. Miller's identity and involvement at the time the original complaint was filed.

Sandstone responds that its claims encompass a broader range of transactions extending through 2024, including transactions involving the Nevada spendthrift trust and 63 Realty Holdings, LLC, that fall within the limitations period. Sandstone also invokes the UVTA's one-year discovery rule, and the discovery rule applicable to common-law fraud claims, arguing that the limitations period for any earlier transactions did not begin to run until Sandstone discovered Ms. Miller's involvement in 2025. Sandstone also argues that, under *Marasco v. Wadsworth* (1978) 21 Cal.3d 82, section 474's ignorance requirement is satisfied where the plaintiff lacked knowledge of the proposed defendant's culpability, not merely the defendant's identity, at the time the original complaint was filed.

In ruling on a motion for leave to amend the complaint, the court generally does not consider the merits of the proposed amendment, because "the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) Here, the Court declines to consider the parties' timeliness arguments in ruling on the proposed amendment. If Defendants believe the proposed claims against Ms. Miller are legally deficient, they may raise that challenge by demurrer or other appropriate motion once the SAC has been filed.

Conclusion

The motion is **granted**. Within 15 days of the date of this ruling, Sandstone shall submit a proposed order and file and serve the SAC.